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US Economic Update: July 20, 2026

Current state of the real economy	
Current state of financial markets	
Current state of inflation	

Atlanta Fed GDP growth forecasts for Q2 2026 (%)	17-Jul-26	16-Jul-26	15-Jul-26	14-Jul-26	13-Jul-26	9-Jul-26
	1.7	1.7	1.4	1.4	1.3	1.3

Headline inflation slowed to 3.5% in June

- Consumer prices, as measured by the consumer price index (CPI), fell 0.4% in June, reversing a 0.5% increase in the previous month. The decline was largely driven by a 5.7% fall in energy prices, following a period of elevated oil prices due to the Middle East conflict. Compared to a year ago, consumer prices rose 3.5% in June, down from 4.2% in May. Core consumer prices, which exclude food and energy, eased to 2.6% over the same period. However, renewed tensions in the Middle East have caused oil prices to rise again, posing an upside risk to inflation in the coming months.
- Producer prices for final demand fell 0.3% in June, following a 0.6% increase in May. Prices of final demand goods fell 1.4% in June, driven primarily by a 6.4% decline in energy prices and a 0.6% decline in food prices. Meanwhile, prices of final demand services rose 0.2% during the month. Overall, producer prices increased 5.5% from a year earlier in June.
- Nominal retail sales (including food services) rose 0.2% in June, moderating from a 1% increase in May. Sales increased the most at motor vehicle and parts dealers (1.9%), non-store retailers (1.9%), and sporting goods, hobby, musical instrument and bookstores (1.3%). Lower gasoline prices reduced sales at gasoline stations by 5.3% during the month, weighing on overall retail sales. Compared to a year ago, total retail sales were up 6.7% in June.
- Housing starts rose 19% in June to a seasonally adjusted annual rate of 1.42 million units. Starts for multifamily homes surged 76.2% during the month, while single-family starts edged down 0.2%. Compared to a year ago, total housing starts were up 3.5% in June. However, building permits, a leading indicator of future construction activity, fell 3% in June and were down 2.3% from a year earlier. The decline in permits suggests that the rebound in housing starts may not be sustained, as elevated mortgage rates, high construction costs, and persistent affordability challenges continue to weigh on housing demand.
- Total industrial production increased 0.1% in June, supported by a 0.4% increase in both mining and utilities output. Meanwhile, manufacturing output was unchanged during the month, following a 0.1% increase in May.

Figure 1. Headline inflation slowed to 3.5% in June from 4.2% in May, while core CPI eased to 2.6% in June from a year earlier

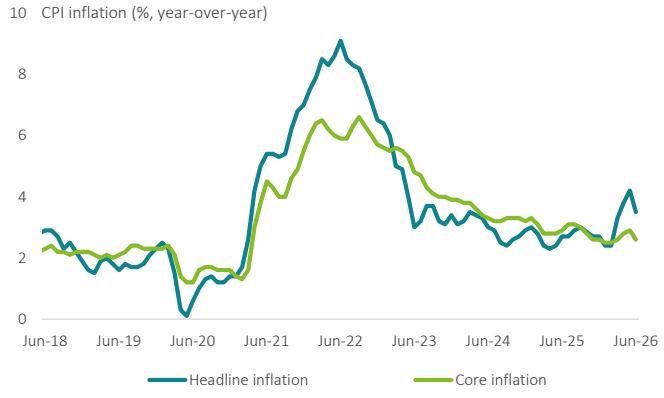


Figure 2. Housing starts rose 19% in June, but future construction activity is likely to remain subdued, as building permits fell 3% during the month



Sources: Haver Analytics; Deloitte analysis.

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Dashboard of key indicators

Real economy

Total nonfarm payrolls

Jun change	3-month avg ch	12-month avg ch	Trend
57,000	111,000	42,000	

Unemployment rate

Jun value (%)	1-month ch (ppts)	3-month ch (ppts)	Trend
4.2	-0.1	-0.1	

Real disposable personal income

May growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	-0.4	0.0	

Real personal consumer expenditure

May growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	0.5	2.1	

Nominal retail sales

Jun growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.2	1.9	6.7	

Conference Board consumer confidence index

Jun value	1-month ch	3-month ch	Trend
91.2	0.6	-1.0	

Housing permits

Jun growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-3.0	0.3	-2.3	

Manufacturing industrial production

Jun growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-0.1	0.8	1.1	

Shipments of core capital goods

May growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.1	2.0	7.6	

Trade balance

May value (US$ billion)	1-month ch	3-month ch	Trend
-77.6	-23.0	-22.6	

Real GDP

Q1 2026 (%, QoQ, SAAR)	Q4 2025	1-year ch (%)	Trend
2.1	0.5	2.7	

Corporate profits

Q1 2026 (%, QoQ, SAAR)	Q4 2025	1-year ch (%)	Trend
7.0	26.3	12.8	

Financial markets

Equity markets

S&P 500 on Jul 17	1-week ch (%)	1-year ch (%)	Trend
7457.7	-1.6	18.4	

Treasury yield spread (10 yr - 2 yr)

Spread on Jul 17	1-month ch(ppts)	3-month ch(ppts)	Trend
0.37	-0.01	-0.2	

CBOE volatility index (VIX)

VIX on Jul 17	1-week ch	4-week ch	Trend
18.8	3.7	2.4	

Kansas City Fed financial stress index (KCFSI)

Jun index	1-month ch	3-month ch	Trend
-0.8	0.1	-0.2	

Inflation

Consumer price index (CPI)

Jun change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-0.4	0.7	3.5	

Core CPI (CPI excluding food and energy)

Jun change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.0	0.6	2.6	

Core PCE (PCE price index excluding food and energy)

May change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	0.9	3.4	

Philadelphia Fed 10-year ahead inflation expectations

Q2 2026 (%, YoY)	Q1 2026	Q2 2025	Trend
2.4	2.3	2.4	

Sources: Haver Analytics; Deloitte analysis.